STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service	**)**	**Case 25-E-0072**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service	**)**	**Case 25-G-0073**

STATEMENT OF SUPPORT OF JOINT PROPOSAL
BY
ENVIRONMENTAL DEFENSE FUND

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Before the New York State Public Service Commission ("Commission"), and pursuant to the November 6, 2025 Ruling on Process, Environmental Defense Fund ("EDF") respectfully submits its Statement of Support regarding the Joint Proposal filed in Consolidated Edison Company of New York, Inc.'s ("Con Edison" or "Company") electric and gas rate case on November 5, 2025[1] in the above-captioned dockets. As EDF demonstrates below, the Joint Proposal meets the public interest standard in PSL § 65(1) and is consistent with the Commission's Settlement Guidelines and therefore should be approved.

I. INTERESTS OF EDF

EDF is a membership organization whose mission is to preserve the natural systems on which all life depends, including universally upholding the fundamental human rights of all people to breathe clean air, grow in vibrant communities, and live in a clean and healthful environment in balance with flourishing biodiversity. Guided by science and economics, EDF seeks practical solutions to resolve environmental problems, and recognizes that achieving a stable climate future will require a dramatic reduction in fossil fuel use in all sectors. EDF seeks to facilitate cost-effective and efficient energy market designs, regulatory frameworks, and community participation to modernize the energy system and drive economy-wide greenhouse gas emissions reductions.

EDF is headquartered in New York and has over 100 employees and over 26,000 members in the state. EDF regularly engages before this Commission to advocate for harmonization of energy policies and utility oversight with the state's climate goals, advancing necessary grid investments to prepare for a clean energy future, and heightened scrutiny of

[1] *Proceeding on Motion of the Commission as to the Rates, Charges, Rules, and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service,* Cases 25-E-0072 & 25-G-0073, Joint Proposal (Nov. 5, 2025) [hereinafter Joint Proposal].

pipeline infrastructure buildout that undermines more clean and efficient solutions and potentially imposes long-term economic and environmental costs on ratepayers. In this proceeding, EDF dedicated staff and expert time and resources to contribute meaningfully to the record in this case. EDF submitted expert testimony in May 2025, and our representatives and staff engaged in numerous settlement negotiation meetings during June through November 2025. On November 5, 2025, Staff filed a Joint Proposal.

II. STATEMENT OF SUPPORT

The Joint Proposal is consistent with the Commission's Settlement Guidelines. The Settlement Guidelines require the Commission to consider whether the Joint Proposal: (1) fairly balances the protection of consumers with fairness to investors and the long-term viability of the utility; (2) is consistent with the environmental, social, and economic policies of the Commission and the State; and (3) falls within the range of reasonable likely outcomes that would have resulted in a fully litigated proceeding; and (4) the record provides a rational basis for the Commission's adoption of it.[2] In addition, the Climate Leadership and Community Protection Act ("CLCPA") requires the Commission to consider whether its administrative approval of a Joint Proposal is inconsistent with or will interfere with New York's attainment of the greenhouse gas emission limits establishes in Article 75 of the Environmental Conservation Law.

Several elements of the Joint Proposal advance environmental, clean energy, and affordability priorities that will benefit Con Edison ratepayers. EDF recognizes that energy access and affordability is of critical importance to New Yorkers. The Joint Proposal strikes an appropriate balance in significantly reducing Con Edison's originally-proposed rate increase,

[2] Cases 90-M-0255 and 92-M-0138, *Proceeding on Motion of the Commission Concerning its Procedures for Settlements and Stipulation Agreements*, Opinion 92-2, Opinion, Order, and Resolution Adopting Settlement Procedures and Guidelines (issued March 24, 1992).

while still advancing important programs related to clean energy, customer education, and transparency. Thoughtful and thorough implementation of these programs by Con Edison will be critical in the years to come to ensure that the requirements of the Joint Proposal are fulfilled. Additionally, the progress that will be advanced during the 2026-28 rate term by Con Edison pursuant to this Joint Proposal can serve to catalyze and inform statewide policy. For these reasons, and described in more detail below, the Joint Proposal satisfies the public interest standard and the Commission's Settlement Guidelines and should therefore be approved.

A. The Joint Proposal Advances Innovative Rate Design that Encourages Building Electrification and Addresses Energy Affordability

The Joint Proposal creates a process for the Company to adopt simpler, more affordable rates that benefit heat pump customers, broaden the availability of its price guarantee program, and provide for improved reporting on customer participation in the alternative rates. The Joint Proposal also contains commitments from the Company to improve customer outreach and education on rate options, which could drive uptake of alternative rates that may have positive bill impacts for heat pump customers. Each of these measures represents progress in better aligning Con Edison customer charges with individual cost contributions and can inform future statewide reforms to energy pricing.

1. New York Must Electrify the Building Sector to Achieve its Climate Goals

According to the Department of Environmental Conservation's most recent Greenhouse Gas Emissions Report, buildings account for 31% of statewide greenhouse gas ("GHG") emissions.[3] Most of these emissions result from combustion of fossil fuels in buildings for space

[3] *Proceeding on Motion of the Commission as to the Rates, Charges, Rules, and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service,* Cases 25-E-0072 & 25-G-0073, Corrected Direct Testimony of Ron Nelson on Behalf of Environmental Defense Fund at 9, lines 11-13 (June 16, 2025) [hereinafter Nelson Direct Testimony].

heating, cooking, or other appliances. The Climate Scoping Plan—New York State's framework for how to achieve net-zero emissions under the CLCPA—highlights the necessity of reducing reliance on fossil natural gas by at least 33% by 2030 and 57% by 2035, with most gas customers fully electrifying by 2050.[4] To achieve this objective, widespread heat pump adoption is needed among residential customers. A heat pump is a versatile heating and cooling system that harvests ambient heat from the ground or the air, efficiently leveraging each unit of input electricity into 2-4 units of heat.[5] The New York State Energy Research and Development Authority estimates that achieving state climate goals would require "one to two million energy efficient homes [to] use heat pumps by 2030, and by 2050, the large majority of buildings statewide [must] use electric heat pumps for heating, cooling, and hot water."[6]

Though switching to electric home heating appliances can save households costs in the long run since fully electrified homes no longer have a monthly gas bill, installing a heat pump increases a household's electricity usage and can therefore lead to higher monthly electricity bills. It is logically sound to charge a customer more when they consume more product. However, electricity rates have system costs—*i.e.* the infrastructure it takes to deliver electricity, the utility's operating expenses, etc.—that are divorced from supply costs yet factored into setting volumetric charges.[7] As discussed below, default rate structures do not accurately charge heat pump customers in proportion to the systemwide costs that they impose, and rate designs

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4 N.Y. CLIMATE ACTION COUNCIL, Scoping Plan at 350 (Dec. 2022), https://climate.ny.gov/resources/scoping-plan/ [hereinafter Scoping Plan].

5 Nelson Direct Testimony at 10, lines 9-13.

6 Nelson Direct Testimony at 9-10, lines 1-2, 17-18 (citing Scoping Plan at 176).

7 Nelson Direct Testimony at11-12, lines 10-19, 11-13.

that correct this misalignment can both encourage building electrification by making heat pump adoption more attractive and addressing energy affordability by lowering monthly bills.

2. Alternative Rate Designs Can Lower Energy Costs for Heat Pump Customers

Electric rates are designed to charge customers for their individual contributions to system costs. This typically includes a fixed charge for the delivery of service to customers, as well as a volumetric ($/kWh) charge determined by a customer's actual use of the service. Alternative rate design can help customers that electrify by installing a heat pump to pay rates that are better aligned with their individual contributions to systemwide costs.[8]

Electric utilities often use the costs incurred during the period of highest demand—summer months—to calculate the fixed and volumetric rate of service for the entire year. Heat pump customers, however, will naturally have an increased load in the winter months as they use electricity for home heating. Those customers will therefore be paying during the winter months to heat their homes at a rate that is based on a summer demand peak, and thus is not reflective of their individual contributions to system costs.[9] Rate designs that emphasize fixed charges and deemphasize volumetric charges, and that acknowledge both seasonal and time-of-use dynamics, can lead to more predictable charges, incentivize energy-saving behaviors, and encourage building electrification and energy efficiency measures. In this proceeding, EDF proposed two new rates—a Seasonal Heat Pump Rate and a Time-of-Use ("TOU") Heat Pump Rate, which could save the average electric heat pump customer an estimated $439 to $507 a year in electricity costs, yielding as much as $131 million in cumulative bill savings over the rate

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8 Nelson Direct Testimony at 11, lines 12-19.

9 Nelson Direct Testimony at 11-12, lines 10-19, 11-13.

period.[10] Moreover, the proposed rates are volumetric and seasonally-differentiated, which are easier for customers to understand and can lead to higher uptake of the rates from existing heat pump customers.

3. The Company Will Study and Appropriately Update its Rate Offerings to Benefit Heat Pump Customers and Expand Protective Pricing Measures

In the Joint Proposal, the Company commits to conducting a study during 2026-27, with opportunities for stakeholder input, on improved rate structures that can benefit heat pump customers; and to seek Commission approval to implement appropriate changes to its rate offerings in 2027.[11]

Current Rate Offerings: SC 1 Rates III and IV. The Company currently offers two alternative rates that are relevant in the context of heat pump adoption—SC 1 Rate III and SC 1 Rate IV—but these rates are inadequate to achieving the goals outlined above. SC 1 Rate III has an excessively long peak period, the period of the day when electricity charges are highest, which may not accurately reflect customer cost causation and makes it difficult for customers to shift energy usage outside the window of highest demand. SC 1 Rate IV is a demand-based rate. Demand-based rates are not typically used for residential customer classes because they can be difficult to understand—a possible explanation for SC 1 Rate IV's low participation rate.[12] The

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[10] *Proceeding on the Motion of the Commission as to the Rate, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service,* Cases 25-E-0072 & 25-G-0073, Direct Testimony of Alex Lopez on Behalf of Alliance for a Green Economy at 6-7 (May 30, 2025) [hereinafter Lopez Direct Testimony].

[11] Joint Proposal at 53-54.

[12] Nelson Direct Testimony at 14-15, lines 4-9, 1-3 (citing Exhibit__(RN-3), Con Edison Response to Information Request EDF-1-5 (May 5, 2025) & Exhibit__(RN-4), Con Edison Response to Information Request EDF-1-11 (May 5, 2025)).

Joint Proposal contains commitments from the Company that can meaningfully improve SC 1 Rates III and IV for heat pump customers.

Study & Improve SC 1 Rates III and IV. In the Joint Proposal, the Company committed to "study the appropriate rate structure (including evaluation of peak period, cost recovery between summer and winder seasons, and peak to off-peak differentials, by season) for SC 1 Rate III and identify any appropriate change," and "study the appropriate peak period of SC 1 Rate IV."[13] The Company will engage with stakeholders while developing the studies, including by meeting "with parties to present the studies" by December 18, 2026 and accepting written feedback by January 15, 2027. The Company will file the studies by March 31, 2027, and will "implement any appropriate changes to SC 1 Rate III and SC 1 Rate IV" by May 31, 2027. This process is expected to result in the availability of improved rates for Con Edison residential customers by the 2027-28 winter season. The Joint Proposal also requires the Company to report publicly on the level of customer uptake in the alternative rates, bill impacts by geographic region, and other metrics.[14]

Price Guarantee. The Company will expand its existing price guarantee program under SC 1 Rate IV, which protects heat pump customers from being charged any amount more on the alternative rate than what they would have paid on the default rate during the first year of participation. The price guarantee will now also apply to SC 1 Rate III customers and no longer be subject to a cap of 1,000 participants.[15] The changes make the price guarantee "available to all

[13] Joint Proposal at 53.

[14] Joint Proposal at 55.

[15] Joint Proposal at 54.

new or existing residential customers operating air source heat pumps or ground source heat pumps" that are being charged under either rate.[16]

4. The Company Will Improve Customer Outreach & Education Regarding Alternative Rate Options

Innovative rate designs can be a critical tool in saving New Yorkers money on energy and facilitating voluntary building electrification, but such approaches are only impactful if ratepayers understand what alternative rates are available and how to use them. Con Edison has installed over 43,000 heat pumps since 2020, and 14,018 in 2024 alone—indicating the success of the Company's Clean Heat incentive program. And yet, according to the Company, only 425 heat pump customers are enrolled in SC 1 Rate IV, a residential rate that is expected to save money for heat pump users.[17] In testimony, Alliance for a Green Economy ("AGREE") explained that though SC 1 Rate IV has been "cost-saving for some, [the rate option] suffers from low enrollment due to limited awareness, complexity, and barrier for low-income customers."[18]

Effective outreach and education programs can help customers understand why opting into a voluntary rate is a better choice; and for customers who still rely on gas for home heating, awareness of consistent and manageable electric rates can be an important factor in deciding to adopt a heat pump and switch off of gas. The Joint Proposal ensures improved customer outreach efforts that provide residential ratepayers more information on rate options, including personalized recommendations. The Company commits to developing: a personalized rate calculator that uses real hourly data to find the lowest-cost rate option for individual households;

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[16] Joint Proposal at 54.

[17] Lopez Direct Testimony at 6, lines 4-11.

[18] Lopez Direct Testimony at 6, lines 1-3.

reports that show potential savings from technologies like heat pumps and EVs before purchase; and annual reports that proactively alert customers to better rate options and projected savings.[19] The Company also commits to developing a new customer outreach and education plan through an inclusive process that provides for stakeholder input.[20]

5. Further Policy Development is Needed to Advance Innovative Rate Design in New York

The Joint Proposal represents significant progress to improve the availability of fair and affordable rates for residential heat pump customers. However, it also demonstrates the importance of further addressing this issue at the statewide level. Significant heat pump adoption is needed to meet New York's climate goals—and to protect customers from volatile gas prices—and to achieve those objectives, customers need to feel confident that their energy bills will remain stable.

The Department of Public Service Staff Markets and Innovation Panel stated that, rather than addressing rate design in an "individual utility rate proceeding," "the Commission clearly states that new rate design and compensation mechanisms would be considered as part of the Grid of the Future Proceeding."[21] The Commission initiated the Grid of the Future proceeding (Case 24-E-0165) in April 2024 to "determine possible future actions that it could take to substantially promote the timely and effective evolution of the electric grid"[22] —as a more

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19 Joint Proposal at 66-67.

20 Joint Proposal at 69.

21 *Proceeding on Motion of the Commission as to the Rates, Charges, Rules, and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service,* Cases 25-E-0072 & 25-G-0073, Rebuttal Testimony of Staff Markets and Innovation Panel at 8 line 17 (June 24, 2025); *id.* at 9 lines 2-5.

22 *Proceeding on Motion of the Commission Regarding the Grid of the Future,* Case 24-E-0165, Order Instituting Proceeding at 11 (Apr. 18, 2024).

appropriate venue to pursue rate reform.[23] The Initiating Order in the Grid of the Future proceeding specifically contemplates an alternative rate design for heat pump customers, directing DPS Staff to, in part, "identify whether additional rate options providing stronger time-varying price-signals beyond those already available to customers should be implemented, such as a rate option which may be attractive for customers that install beneficial electrification technologies including ground-source and air-source heat pumps."[24]

EDF looks forward to engaging with rate reform further in the Grid of the Future proceeding. Con Edison's commitments in this rate case will benefit Con Edison residential customers, and will provide learnings and data that can inform statewide efforts to improve rate design.

B. The Joint Proposal Advances Greenhouse Gas Emissions Accounting to Provide Information Needed Under CLCPA Section 7(2)

In the Joint Proposal, the Company commits to filing publicly, as part of the record of decision in this proceeding, an assessment of projected greenhouse gas ("GHG") emissions associated with certain gas and electric system projects and programs for each rate year during the rate term (2026, 2027, 2028), along with a baseline GHG emissions estimate for calendar years 2024 and 2025.[25] Many of the inputs and assumptions used to calculate the gas and electric emissions are provided to the Commission as part of the record of decision for this proceeding in Appendix 23 to the Joint Proposal—this includes all inputs and assumptions that were known to parties at the time of signing the Joint Proposal. Finally, the Company commits to file an annual

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[23] *In the Matter of Consolidated Edison Company of New York, Inc.,* Cases 25-E-0072 & 25-G-0073, Rebuttal Testimony of Staff Markets and Innovation Panel at 9 (June 24, 2025).

[24] *Proceeding on Motion of the Commission Regarding the Grid of the Future,* Case 24-E-0165, Order Instituting Proceeding at 17 (Apr. 18, 2024).

[25] Joint Proposal at 116 (Part P.2. GHG Emissions).

report and workpapers following each rate year, providing a lookback assessment of the actual GHG emissions.[26]

These commitments represent advancement towards the comprehensive GHG emissions accounting that is needed for the Commission to render complete decisions in utility rate cases pursuant to Section 7(2) of the CLCPA, as discussed further below, *infra* Part III. While additional improvements can and still should be made, the information provided will assist the Commission to facilitate a more thorough decision in this rate case that strives to ensure consistency with achievement of the statewide GHG emissions limits for 2030 and 2050.

The GHG emissions accounting commitments in the Joint Proposal accomplish several objectives that EDF views as high priority to improve overall GHG accounting:[27]

1. Establish an Emissions Baseline: As set forth in Appendix 23 of the Joint Proposal, Con Edison will provide a 2024 and 2025 GHG emissions baseline.
2. Establish a Clear Framework for Assessing Emissions: The Joint Proposal contains in Appendix 23 a clear framework by which Con Edison will assess and report its emissions, which all signatory parties agreed to, and which accounts for both gas and electric system emissions. As discussed below, *infra* Part III, a consistent, statewide framework is needed, as it is not an efficient use of resources for parties to renegotiate these frameworks in each rate case.
3. Transparency in Assumptions: The Joint Proposal discloses the inputs and assumptions that will be used in the Company's analysis, in Appendix 23, and the Company also

[26] *Id.*

[27] *See* Lyon Direct Testimony at 17, 33-35.

commits to providing its workpapers to accompany its future annual emissions filings during the rate term.

4. Attribute Emissions Reductions to Specific Projects: The emissions reporting template in the Joint Proposal Appendix 23 provides for reporting of specific projects and programs.

III. THE COMMISSION MUST ESTABLISH A STANDARD FOR EVALUATING GREENHOUSE GAS EMISSIONS IN RATE CASES

Reducing GHG emissions is urgent because scientific evidence overwhelmingly demonstrates that climate change is causing immediate, devasting impacts, and that these harms will worsen dramatically unless we mitigate climate warming.[28] The CLCPA mandates that New York State adopt measures to reduce statewide GHG emissions by 40% by 2030 and 85% by 2050 (below 1990 levels) and achieve economywide net-zero emissions by 2050.[29] CLCPA Section 7(2) requires that "all state agencies," in "considering and issuing" administrative approvals and decisions, "shall consider whether such decisions are inconsistent with or will interfere with the attainment of the statewide greenhouse gas emissions limits"—and if so, the agency must adopt mitigation measures to address the related emissions.[30]

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[28] *See Proceeding on Motion of the Commission as to the Rates, Charges, Rules, and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service,* Cases 25-E-0072 & 25-G-0073, Direct Testimony of David Lyon on behalf of EDF at 7 lines 3-13 (May 30, 2025) (citing Crimmins et al, *Fifth National Climate Assessment*, U.S. GLOB. CHANGE RSCH. PROGRAM, Ch. 1, at 5 (Emily K. Laidlaw et al. eds) (2023)) [hereinafter "Lyon Direct Testimony"].

[29] New York State Climate Leadership and Community Protection Act ("CLCPA"), 2019 N.Y. Laws 106, § 1(4); *id.* § 2 (N.Y. ECL §§ 75-0107(1), 75-0103(14)(d)).

[30] In parallel, CLCPA § 7(3) requires that "all state agencies," in "considering and issuing" administrative approvals and decisions, "shall not disproportionately burden disadvantaged communities" and "shall prioritize reductions of greenhouse gas emissions and co-pollutants in disadvantaged communities." EDF supports thoughtful and comprehensive implementation of CLCPA § 7(3), but is focused here on implementation of § 7(2).

A. The Current State of GHG Emissions Accounting in Rate Cases

In a 2021 order, the Commission confirmed that Section 7 of the CLCPA applies to its decision in utility rate cases.[31] In a May 2022 order, the Commission stated that "it must establish clear and consistent statewide guidelines for GHG emissions reporting requirements to ensure that the State's major electric and gas IOUs (collectively, the Utilities) are on track to meet the CLCPA targets," and further directed New York utilities in future rate case filings to "include an assessment of the GHG emissions impacts of each specific investment, capital expenditure, program, and initiative included in their rate filings."[32]

The Commission has sought to evaluate rate case settlements pursuant to Section 7(2), but it has done so only through narrative analysis, and has not deployed quantitative analysis to verify the overall GHG emissions impact of a given utility rate plan. In its August 2025 order approving the Central Hudson rate case Joint Proposal, for example, the Commission stated as follows:

> [The CLCPA] requires only that agencies consider whether their decisions "are inconsistent with or will interfere with the attainment of statewide greenhouse gas emissions limits" established in ECL Article 75. The instant Joint Proposal contains projects and programs directly related to managing and reducing emissions that

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[31] *See* CLCPA § 7; *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service & KeySpan Gas East Corp. d/b/a National Grid for Gas Service*, Cases 19-G-0309 & 19-G-0310, Order Approving Joint Proposal, As Modified, and Imposing Additional Requirements at 69, 70 (Aug. 12, 2021) (concluding "Sections 7(2) and 7(3) are applicable to the Commission's actions here"; observing "the Legislature's intent that Section 7(2) of the CLCPA be broadly construed"; and explaining that "Commission orders in rate cases fall within the ambit of Section 7(2)'s [and 7(3)'s] application to 'other administrative approvals' notwithstanding the absence of a direct correlation to any item provided in the list of examples").

[32] *In the Matter of Assessing Implementation of and Compliance with the Requirements and Targets of the Climate Leadership and Community Protection Act*, Case 22-M-0149, Order on Implementation of the CLCPA at 14-15, 16 (May 12, 2022).

> contribute to the attainment of the State's policy goals and, therefore, approval of this Joint Proposal would not be inconsistent with the CLCPA.[33]

In that order, the Commission also referenced the "projected emissions impacts over the term of the proposed rate plan" set forth in an attachment to the DPS Staff's Statement of Support.[34] This order represents a reasonable effort to assess at face value whether the Central Hudson Joint Proposal made sufficient efforts to reduce GHG emissions—but it is not grounded in the numeric GHG emissions limits as the law requires. To accurately assess whether approval of a utility rate plan will interfere (or not) with the attainment of New York's GHG emissions limits, a comprehensive quantification of the emissions associated with the rate plan is required.[35]

The Con Edison rate case at hand presents a useful example of why the current, unstructured approach to assessing GHG emissions needs to be improved. First, Con Edison did attempt to include in its rate filing "an assessment of the GHG emissions impacts of each specific investment, capital expenditure, program, and initiative," as directed by the Commission.[36] However, EDF identified a number of shortcomings with that assessment, and had to seek additional information through the discovery process in order to thoroughly evaluate the Company's estimates of GHG emissions.[37] EDF conducted its own assessment of Con Edison's gas and electric system emissions associated with the rate case, using the Company's data for

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[33] *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Central Hudson Gas & Electric Corporation for Gas Service*, Case 24-G-0462, Order Adopting Terms of Joint Proposal at 99 (Aug. 14, 2025).

[34] *Id.* at 99 n.360.

[35] Lyon Direct Testimony at 12, lines 6-8.

[36] *See* Case 22-M-0149, Order on Implementation of the CLCPA at 14-15, 16 (May 12, 2022); Con Edison Ex. __ (CETP-2), Schedule 1 & 2.

[37] *See* Lyon Direct Testimony at 16-19; *see also* Exh. __ (DL-1) at 2-5.

inputs.[38] DPS Staff also conducted its own GHG emissions assessment of select rate case projects and programs associated with Con Edison's gas system.[39] Many of the differences between these three emissions assessments—of Con Edison, Staff, and EDF—represent differing approaches regarding how to estimate or group emissions, rather than errors or any bad faith effort to obscure emissions sources. For example, Con Edison criticized EDF's proposed GHG emissions approach and defended its own approach by stating that:

> Con Edison's GHG emissions calculations related to our natural gas distribution system are consistent with the calculation methodology outlined by the Joint Utilities ('JU') in their December 1, 2022, GHG Emissions Inventory Proposal (as supplemented by the JU's May 31, 2023 filing), filed in Case 22-M-0149 . . . . Any proposals that seek to modify or supplement the statewide framework being developed in Case 22-M-0149 should be made in that proceeding and not in individual utility rate cases.[40]

But EDF has filed public comments on the Joint Utilities' GHG Emissions Inventory Proposal in Case 22-M-0149, and to date the Commission has not acted to approve the JU Proposal or otherwise. There is no reason why the emissions inventory proposed by the Joint Utilities should be considered more accurate than another approach advanced by EDF, especially when the Commission has never ruled on either approach.

These differing approaches demonstrate the importance of using a consistent, clear approach to estimating and tracking GHG emissions. This is essential in order to reasonably compare different program options or track changes over time.

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[38] Lyon Direct Testimony at 23-24; Exh. __ (DL-1) at 5-15

[39] Cases 25-E-0072 & 25-G-0073, Direct Testimony of Staff Climate Leadership and Community Protection Act (CLCPA) Panel [hereinafter "Staff CLCPA Panel Direct Testimony"]; Exh. __ (SCLCPAP-3).

[40] Cases 25-E-0072 & 25-G-0073, Con Edison Clean Energy Transition Panel Rebuttal Testimony at 14-15 (June 24, 2025).

B. Statewide Policy Progress on GHG Emissions Accounting

In a May 2022 order, the Commission directed the utilities "to work with DPS Staff to develop a proposal regarding the content of a GHG Emissions Inventory Report that includes an inventory of total gas system-wide emissions, following the methodology required in the CLCPA and by DEC."[41] The utilities accordingly filed a joint proposal for an annual GHG inventory report in December 2022, and after it was noticed for public comment, EDF filed comments in September 2023.[42] EDF stated that the Commission, in addition to requiring annual GHG reporting, should "adopt a framework for reporting GHG emissions associated with rate case filings, as well as Joint Proposals (since rate cases in New York are typically resolved through multi-party settlements referred to as Joint Proposals)."[43] The Commission has not acted on the Joint Utilities' Proposed Methodology for Annual Greenhouse Gas Emissions Inventory Reporting.

Since then, the NY Department of Environmental Conservation ("DEC") has initiated a rulemaking to establish a Mandatory Greenhouse Gas Reporting Program, with a proposed rule issued in April 2025 and public comments due in July 2025.[44] That rule would impose reporting

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41 Case 22-M-0149, Order on Implementation of the CLCPA at 15 (May 12, 2022).

42 *In the Matter of Assessing Implementation of and Compliance with the Requirements and Targets of the Climate Leadership and Community Protection Act*, Case 22-M-0149, Joint Utilities' Proposal for An Annual Greenhouse Gas Emissions Inventory Report (Dec. 1, 2022); *In the Matter of Assessing Implementation of and Compliance with the Requirements and Targets of the Climate Leadership and Community Protection Act*, Case 22-M-0149, Comment of EDF on the Joint Utilities' Proposed Methodology for Annual Greenhouse Gas Emissions Inventory Reporting (Sept. 5, 2023).

43 Case 22-M-0149, Comment of EDF on the Joint Utilities' Proposed Methodology for Annual Greenhouse Gas Emissions Inventory Reporting at 16 (Sept. 5, 2023).

44 *See* NYDEC, Proposed Rule: *Mandatory Greenhouse Gas Reporting*, 6 NYCRR Part 253 and Part 200, https://dec.ny.gov/environmental-protection/air-quality/mandatory-greenhouse-gas-reporting.

requirements on gas and electric utilities and any action by the Commission should be evaluated to ensure consistency with the NYDEC reporting rule when it is finalized. However, additional GHG reporting may be required by the Public Service Commission to ensure fulfilment of its own obligations under the CLCPA, including regarding rate cases.

C. Commission Action is Needed

As the foregoing discussion demonstrates, the issue of GHG accounting falls within the range of reasonable likely outcomes that would have resulted in a fully litigated proceeding. In the absence of a consistent, statewide framework, the Joint Proposal's provisions on GHG accounting represent meaningful progress on this issue. Going forward, and to improve the outcome of future rate cases, the Commission must also adopt a framework for quantifying GHG emissions associated with rate filing and settlements, to ensure that its decisions in rate cases are consistent with CLCPA Section 7.

IV. CONCLUSION

Several elements of the Joint Proposal advance environmental, clean energy, and affordability priorities that will benefit Con Edison ratepayers. The Joint Proposal satisfies the public interest standard and the Commission's Settlement Guidelines and should therefore be approved.

Dated: November 26, 2025

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